

“They also found that using words like ‘sugar free,’ or ‘diet’ were perceived to be feminine, along with light/white/silver colored cans; according to their data.

So when introduced their diet Monster beverage, they kept the can black, changed the *M* to blue, and name it Lo-Carb. It was an instant success.”

Another genius aspect of Monster Lo-Carb was that it was a much easier sale, as Monster itself was already very popular. They figured out that the only way to get shelf space for a second product is to make sure your first product is in very high demand. “And without shelf space for your products you are just a couple of people with ideas,” Yoda writes, “and a warehouse full of beverages. Monster Lo-Carb was one of the first rollouts that really needed almost no promotional support.”

This was all part of the effort to create a brand, which is particularly important in beverages. This all started to pay off in rapid sales growth:

	2002	2003	2004	2005	2006
Sales & marketing employees	112,885	135,655	224,098	415,417	696,322
Net sales	92,046	110,352	180,341	348,886	605,774
NS % of gross	81.54%	81.35%	80.47%	83.98%	87.00%
Gross profit % of NS	34.80%	39.70%	46.30%	52.30%	52.30%

“But there is an even more exciting part,” Yoda writes. “If you have a brand that catches on, grows, and hits scale, the costs start to slowly unwind.”

Note two things from the above:

1. Net sales grew to a larger percentage of gross sales. That reflects promotions (discounts) Monster no longer needed to offer, as Monster was now a well-known brand retailers wanted to carry.
2. Gross profits as a percentage of net sales also increased as their copackers and distribution partners started to see them as a good customer and offer concessions to stay.

“This is a pretty potent cocktail, and led to the dramatic rise in share price,” Yoda writes. “Look at the effect that this extra margin has on the bottom line.”